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# Cross the river by feeling the stones

The phrase, from Deng Xiaoping, has gone deep into the world of public policy. What exactly does it mean to cross the river by feeling the stones? There are three elements to translating this idea into tangible policy strategies.

## Element 1: No silver bullets

There is sometimes a temptation in thinking that what is required is one big bang and then the problem is solved. This is never the case. No problem is susceptible to a big one-time policy effort.

In every successful policy effort, there will be a large number of decisions, and iterative refinement based on empirical experience. We have to plan for sustained work over many long years rather than one big-bang reform. This calls for capacity-building process of a stable team within government, the organizational structure within which that team will work, and a supporting intelligentsia outside government. If any of these three elements are neglected, an initiative is likely to falter after the big bang.

As an example, the reforms of the Indian financial markets consisted of analytical work through the 1980s, and the establishment of a non-statutory SEBI in 1988. This work leaped into high priority after the Harshad Mehta scandal of 1991–92. This involved the establishment of institutional infrastructure with the closure of the office of the controller for capital issues, establishing the Capital Markets Division in the Ministry of Finance,